

Notes: Che, Choe, and Rhee (JF, 2024)

Bailout Stigma

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1 Big picture

- **Question.** Can a government bailout that is meant to alleviate adverse selection create its own reputational problem, and how should bailout policy be designed when accepting aid is publicly observable?
- **Core mechanism.** A bailout can “skim the dregs” by purchasing low-quality legacy assets, thereby improving private-market beliefs about assets that remain in the market. But the same dregs-skimming logic stigmatizes bailout recipients: if accepting the bailout is observed, the market infers that recipients are weaker.
- **Model.** There is a continuum of firms. Each firm privately knows the quality θ of its legacy assets. In each of two periods, the firm has a profitable project but must sell a legacy asset to finance it. Private buyers are competitive and break even. The government can buy assets in period 1 at price p_g .
- **No-stigma benchmark.** In a one-period model, a bailout raises asset trade by buying low-quality assets and improving the perceived quality of the remaining pool. This is the standard Tirole-style bailout logic.
- **Transparent bailout problem.** In a two-period model, bailout acceptance is observed. Buyers in period 2 use acceptance or refusal as a signal of asset quality. This creates bailout stigma.
- **Two possible equilibrium forms.** The transparent bailout can lead to *short-lived stimulation* or *delayed stimulation*. In the first, bailout effects appear immediately but the second-period market freezes even more severely. In the second, high-quality firms reject the bailout to signal strength, so stimulation is delayed but more efficient.
- **Policy implication.** A generous bailout can make rejection informative, creating a delayed stimulation equilibrium that mimics the outcome under a secret bailout. A menu of multiple transparent bailout programs is strictly suboptimal because it creates additional signaling opportunities and compounds stigma.
- **Main takeaway.** Bailouts are not only liquidity or asset-purchase policies. They are also information policies. Observability of participation changes market beliefs and can reverse the standard static prediction that public purchases immediately revive private markets.

2 Model setup and measurement

2.1 Agents, assets, and projects

- There is a continuum of firms indexed by the private type $\theta \in [0, 1]$.
- Type θ is the value or quality of the firm's legacy asset.
- Each firm has two units of the legacy asset, one becoming available for sale in each period $t = 1, 2$.
- Asset quality is identical across the two periods for a given firm.
- In each period, a project becomes available. The project has net social return $S > 0$ and requires funding $I > 0$.
- Because the project return is not pledgeable, the firm must fund the project by selling the legacy asset.

Interpretation: The asset sale is a financing decision. The model can be read as a model of banks or firms with illiquid collateral who must sell or pledge legacy assets to obtain funding for valuable projects.

2.2 Information and adverse selection

- Firms privately know θ .
- Buyers observe neither the asset type nor period-1 private market sales.
- Buyers are competitive and make Bertrand offers that break even in expectation.
- The government bailout is available only in period 1.
- Under transparent bailouts, the period-2 market observes which firms accepted a period-1 bailout.

Interpretation: The key asymmetry is that private market sales are hidden while bailout participation is public. This asymmetry makes the bailout action a signal.

2.3 Government bailout

- The government offers to buy one unit of the asset at price p_g in period 1.
- The offer is initially treated as exogenous and above the laissez-faire price p_0 .
- Later, the paper studies optimal choice of the bailout terms when public funds are costly.
- In the main transparent-bailout model, the identity of bailout recipients is observed in period 2.

Interpretation: The government purchase has two effects. It transfers resources to firms and it changes what the market believes about firms who accept or reject the offer.

2.4 Why two periods are essential

- In a one-period model, there is no future market in which stigma can matter.
- In a two-period model, period-1 participation affects period-2 beliefs and financing terms.
- A firm may accept the bailout for direct period-1 funding but suffer worse terms later.
- A firm may reject the bailout to signal quality and obtain better future market terms.

Interpretation: Bailout stigma is fundamentally dynamic. It arises because the acceptance decision changes future beliefs.

3 Models and theoretical specifications

3.1 Laissez-faire equilibrium

In the no-bailout benchmark, the market is a lemons market. If all types $\theta \leq \hat{\theta}$ sell, the marginal seller is indifferent when

$$p = \hat{\theta} - S. \quad (1)$$

Competitive buyers break even:

$$p = \mathbb{E}[\theta \mid \theta \leq \hat{\theta}]. \quad (2)$$

Therefore the laissez-faire cutoff θ_0 and price p_0 solve

$$\theta_0 - S = \mathbb{E}[\theta \mid \theta \leq \theta_0] =: p_0. \quad (1)$$

Interpretation: Low- θ firms sell because their opportunity cost of selling the asset is low. The market price is depressed by adverse selection. If $p_0 < I$, the market fully freezes.

3.2 One-period bailout without stigma

In the one-period benchmark, firms can sell either to the government or to the market. Let μ_g and μ_m be the fractions of selling types that go to the government and to the market. If θ_g and θ_m are the average values in the two pools, then

$$\mu_g \theta_g + \mu_m \theta_m = \mathbb{E}[\theta \mid \theta \leq p_g + S]. \quad (2)$$

If the private market is active, it breaks even, so the market price equals the average quality in the market pool.

Interpretation: The bailout purchases the low tail of the asset-quality distribution. This improves the pool sold privately, which is the dregs-skimming effect.

3.3 Secret bailout benchmark

If bailout participation is fully secret, period-2 buyers cannot condition on bailout participation. Then:

- in period 1, the outcome is the one-period bailout benchmark;
- in period 2, the outcome is the no-intervention benchmark.

Interpretation: Secrecy removes the stigma channel. It is useful as a benchmark even if full secrecy is difficult in practice.

3.4 Transparent bailout: general cutoff structure

With a public bailout offer $p_g > p_0$, any equilibrium has three cutoffs

$$0 < \hat{\theta} \leq \hat{\theta}_g \leq \theta_2. \quad (3)$$

The cutoff allocation is:

- $\theta \leq \hat{\theta}$: sell in both periods;
- $\theta \in (\hat{\theta}, \hat{\theta}_g]$: sell only to the government in period 1;
- $\theta \in (\hat{\theta}_g, \theta_2]$: sell only in period 2;
- $\theta > \theta_2$: never sell.

Interpretation: Single crossing orders firms by asset quality. Low types sell more readily. High types avoid selling because doing so reveals weakness or destroys a valuable signaling opportunity.

3.5 Short-lived stimulation equilibrium

A short-lived stimulation equilibrium corresponds to $\hat{\theta}_g = \theta_2$. There are no firms who sell only in period 2. The bailout stimulates period-1 trade but worsens period-2 beliefs about the remaining bailout recipients.

Key features:

- Some low types sell in both periods.
- Intermediate types sell to the government in period 1 and withdraw in period 2.
- Bailout recipients are stigmatized in period 2.
- Stigma spreads to period-1 market sellers because they also face worse inferred quality.
- The period-2 market can become more frozen than under no bailout.

Interpretation: The bailout works immediately but backfires later. The very act of public intervention can undermine future market confidence.

3.6 Delayed stimulation equilibrium

A delayed stimulation equilibrium corresponds to $\hat{\theta}_g < \theta_2$. Some high-quality firms refuse to sell in period 1 and sell only in period 2. Rejection becomes a favorable signal.

Key features:

- Some firms reject the bailout not because the offer is unattractive mechanically, but because rejection builds reputation.
- Period-1 trade may look disappointingly low.
- Period-2 market trade revives because holdouts are believed to be high quality.
- Total trade equals the secret-bailout benchmark under the corresponding delayed equilibrium.

Interpretation: A delayed response should not necessarily be interpreted as policy failure. Low take-up can be a sign that the policy is creating a valuable signaling opportunity.

3.7 Optimal bailout policy

Let $Q(\theta) \in \{0, 1, 2\}$ be the total number of assets sold by type θ over two periods, and let $T(\theta)$ be total transfers. A general incentive-compatible equilibrium outcome has the trade rule

$$Q(\theta) = \begin{cases} 2, & \theta \leq \hat{\theta}, \\ 1, & \theta \in (\hat{\theta}, \theta_2], \\ 0, & \theta > \theta_2, \end{cases} \quad (3)$$

with $\hat{\theta} \leq \theta_0$ and $\theta_2 \geq \theta_0$.

The welfare expression is

$$\int_0^1 \left[2\theta + \left(S(1 + \lambda) - \lambda \frac{F(\theta)}{f(\theta)} \right) Q(\theta) - \lambda(u - 2) \right] f(\theta) d\theta. \quad (4)$$

The optimal outcome sets rents to the highest type to zero and solves for the efficient cutoffs.

Interpretation: The inverse hazard term $F(\theta)/f(\theta)$ is the information-rent cost of inducing trade. The government must balance project surplus against fiscal and informational costs.

4 Interpretation and design logic

4.1 Why bailout stigma appears

- A bailout that buys low-quality assets improves the remaining market pool.
- Therefore, accepting the bailout is informative: recipients are statistically weaker.
- Period-2 buyers condition on this public information and offer worse terms to recipients.
- Firms anticipate this future price penalty when deciding whether to accept aid.

Interpretation: The same selection force that makes bailouts useful in static models creates stigma in a dynamic model.

4.2 Why the short-lived equilibrium is bad

- Immediate trade rises because some firms accept aid.
- High-quality recipients exit the future market to avoid stigma.
- Their withdrawal worsens the quality of future participants.
- This deepens the period-2 freeze and can make market conditions worse than under no bailout.

Interpretation: The policy's short-run success can be misleading. The hidden cost is future market confidence.

4.3 Why the delayed equilibrium is better

- A generous offer induces many low-quality firms to accept.
- High-quality firms can credibly signal strength by rejecting the offer.
- The market rewards holdouts in period 2.
- Total trade matches the secret-bailout benchmark, although the timing differs.

Interpretation: Rejection of a bailout can be socially useful because it separates stronger firms from weaker ones without requiring the policymaker to conceal participation.

4.4 Why multiple bailout programs are bad

- A menu gives firms more ways to signal type by choosing different programs.
- More signaling opportunities separate types too finely.
- Fine separation worsens adverse selection in later markets.
- The optimal policy is a single program rather than a menu of transparent programs.

Interpretation: In this model, policy complexity worsens the informational problem. Simpler bailout design can dominate a menu.

5 Figures and theorem excerpts

This section uses compact groupings of figures and theorem excerpts directly cropped from the original paper.

5.1 Figures 1–2: timeline and laissez-faire cutoff

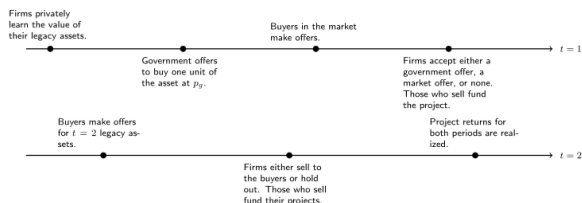


Figure 1. Timeline for the two-period model.

(a) Timeline of the two-period model

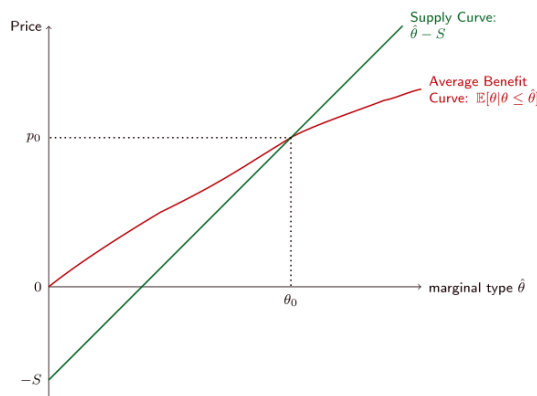


Figure 2. Determination of the cutoff type θ_0 in the laissez-faire economy.

(b) Determination of the laissez-faire cutoff θ_0

Read:

- Figure 1 shows the timing: firms learn asset values, the government offers a period-1 bailout, private buyers make offers, firms choose between bailout, market sale, or holding, and period-2 markets observe bailout participation.
- Figure 2 shows the lemons logic. The cutoff θ_0 is the intersection of the marginal seller's supply curve and the average-benefit curve.

Economic message: The model starts with a standard adverse-selection freeze. The bailout changes market beliefs by altering the composition of sellers.

5.2 Figures 3–4: no bailout versus one-period bailout

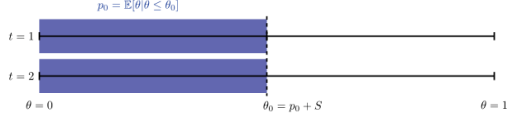


Figure 3. No bailout equilibrium.

(a) No-bailout equilibrium

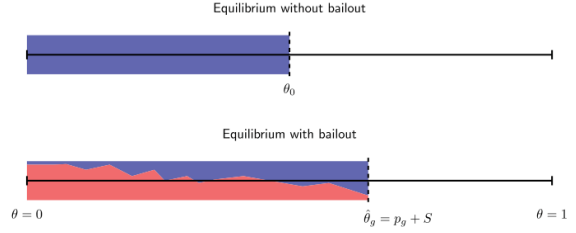


Figure 4. Effects of bailout in the one-period benchmark. Types selling to the market are

(b) One-period bailout without stigma

Read:

- Without bailout, both periods repeat the same partial-market equilibrium: types below θ_0 sell.
- In the one-period bailout benchmark, the government buys low-quality assets and the market trades healthier assets.
- The red government-purchase region is the dregs-skimming region.

Economic message: In a static model, the bailout improves the private market. This is the benchmark that the stigma model overturns.

5.3 Figures 5–6: secret bailout and general equilibrium structure

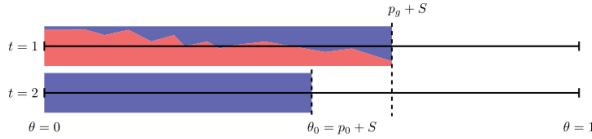


Figure 5. Equilibrium under secret bailout. Types selling to the market are depicted in blue and types selling to the government are depicted in red.

(a) Secret bailout benchmark

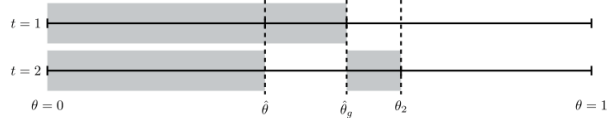


Figure 6. General equilibrium structure.

(b) General cutoff structure

Read:

- Under secrecy, period-1 bailout participation does not affect period-2 beliefs.
- With transparency, the equilibrium must have cutoffs $\hat{\theta}$, $\hat{\theta}_g$, and θ_2 .
- The gray regions in Figure 6 summarize possible trade timing across types.

Economic message: Secrecy removes stigma. Transparency converts the bailout decision into a signal, forcing a richer dynamic cutoff structure.

5.4 Figures 7–8: short-lived versus delayed stimulation

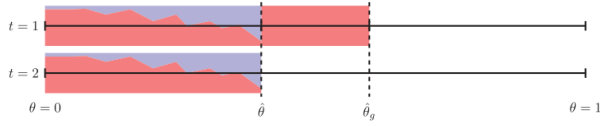


Figure 7. Short-lived stimulation equilibrium. Types selling to the market are depicted in blue and types selling to the government are depicted in red.

(a) Short-lived stimulation equilibrium

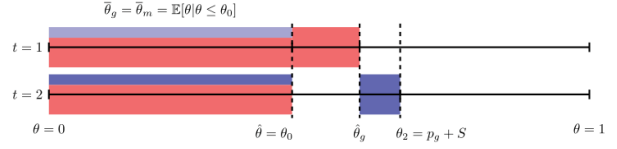


Figure 8. Delayed stimulation equilibrium. Types selling to the market are depicted in blue and types selling to the government are depicted in red.

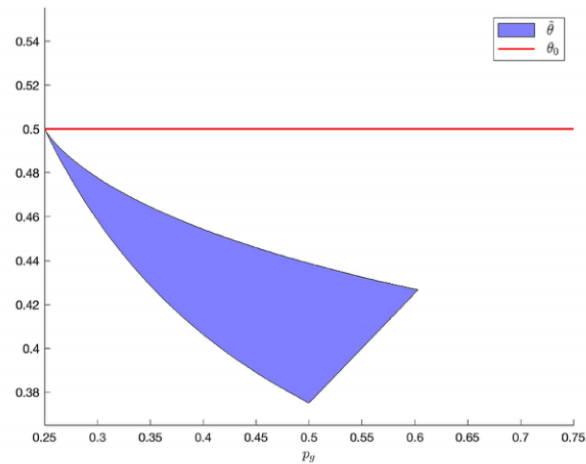
(b) Delayed stimulation equilibrium

Read:

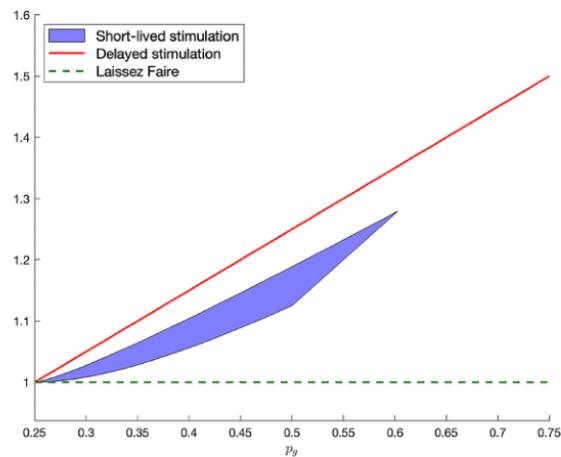
- In the short-lived equilibrium, the bailout generates period-1 trade but the second-period market is thin.
- In the delayed equilibrium, high-quality firms hold out in period 1 and sell in period 2.
- The delayed equilibrium uses rejection as a signal of strength.

Economic message: The welfare ranking can favor the delayed-looking policy: less visible immediate take-up can support stronger future market confidence.

5.5 Figure 9: uniform-distribution example



Panel A. $\hat{\theta}$'s in short-lived stimulation equilibria



Panel B. Overall trade in both types of equilibria

9. Equilibrium outcome in the uniform example ($S = 1/4$, $I = 1/10$).

Read:

- Panel A shows the set of $\hat{\theta}$ cutoffs supported in short-lived stimulation equilibria.
- Panel B compares overall trade under short-lived stimulation, delayed stimulation, and laissez-faire.
- Delayed stimulation can generate higher total trade than short-lived stimulation.

Economic message: The numerical example shows that immediate stimulation is not necessarily better. Short-lived equilibria can be dominated by delayed equilibria.

5.6 Theorems 1–2 and Lemma 1: benchmark logic and transparent cutoff structure

$$\mu_g \vee \mu_m \vee \mu_g = \mu_g \vee \mu_m \vee \mu_g = \mu_g \vee \mu_m \vee \mu_g.$$

Furthermore, since market buyers must break even when $\mu_m > 0$, we have $p_m = \bar{\theta}_m$. Given $p_g = p_m$, this in turn implies $\bar{\theta}_m = p_g$.

The central feature of Tirole (2012) follows from these observations.

THEOREM 1 (Dregs skimming):

- (i) In any equilibrium of the one-period benchmark with government offer $p_g > \max\{p_0, I\}$, firms sell assets (to either the government or to the market) at price p_g if and only if $\theta < p_g + S$. Since $p_g > p_0$, more firms finance their projects than without the government intervention.
- (ii) If $\mu_m > 0$ so that the market is active, then $\bar{\theta}_g < \bar{\theta}_m$, that is, on average lower-value assets are sold to the government than to the market.

PROOF: See the Appendix. $\square$

(a) Theorem 1: dregs skimming

picts the equilibrium under secret bailout.

THEOREM 2 (Secret bailouts): Suppose the government offers to purchase assets at $p_g > p_0$ with full secrecy. Then, in equilibrium, firms accept the government offer in $t = 1$ if and only if $\theta < p_g + S$. In $t = 2$, firms sell assets to the market at price p_0 if and only if $\theta < \bar{\theta}_0$.

(b) Theorem 2: secret bailouts

The SSE are characterized as follows.

THEOREM 3 (Short-lived stimulation equilibria): In an SSE under a public offer $p_g > p_0$, there exist $\hat{\theta} < \theta_0 < p_g + S = \hat{\theta}_g$ such that the following holds:

- (i) Types $\theta \leq \hat{\theta}$ sell in both periods, and types $\theta \in (\hat{\theta}, \hat{\theta}_g)$ sell only in $t = 1$ to the government.
- (ii) Among the types $\theta \leq \hat{\theta}$, the fraction $\mu_g > 0$ with average quality $\bar{\theta}_g$ accepts the bailout and the fraction $\mu_m = 1 - \mu_g > 0$ with average quality $\bar{\theta}_m$ sells to the market at $p_m = \bar{\theta}_m$ in $t = 1$, where $\bar{\theta}_g < \bar{\theta}_m < p_g$.
- (iii) $p_g < 2\bar{\theta}_0 - E[\theta | \theta \leq \hat{\theta}]$.

PROOF: See the Appendix. $\square$

We highlight three features of SSE. First, bailout recipients suffer stigma. In the $t = 2$ market, the bailout recipients that appear in that market are believed to be of type $\bar{\theta}_m$ (on average), while those that sold to the market in $t = 1$

(b) Theorem 3: short-lived stimulation

We begin by analyzing the structure of a possible equilibrium.

LEMMA 1: In any equilibrium with $p_g > p_0$, there are three cutoffs $0 < \hat{\theta} \leq \hat{\theta}_g \leq \theta_2$ such that types $\theta \leq \hat{\theta}$ sell assets in both periods, some measure of whom sell to the government and the remainder of whom sell to the market in $t = 1$; types $\theta \in (\hat{\theta}, \hat{\theta}_g)$ sell only to the government in $t = 1$ but do not sell in $t = 2$; types $\theta \in (\hat{\theta}_g, \theta_2]$ sell only in $t = 2$; and types $\theta > \theta_2$ never sell their assets in either period.

The structure of an equilibrium is depicted in Figure 6.

Lemma 1 rests on several observations. First, firms' preferences satisfy the

(a) Lemma 1: three-cutoff structure

Read:

- Theorem 1 formalizes the dregs-skimming effect in the one-period benchmark.
- Theorem 2 shows how a secret bailout removes the stigma channel.
- Lemma 1 gives the general transparent-bailout cutoff structure.

Economic message: The paper's main innovation is to combine the static dregs-skimming logic with dynamic signaling.

5.7 Theorems 3–4 and Corollary 1: two transparent-bailout equilibria

incentive to attract high-type holdouts, unlike in SSE.

We now provide the characterization of DSE.

THEOREM 4 (Delayed stimulation equilibria): There is a DSE if $p_g \geq E[\theta | \theta \in [\theta_0, \gamma(\theta_0)]]$, where $\gamma(\theta') := \sup\{\theta'' \in [0, 1] : E[\theta | \theta \in [\theta', \theta'']] + S \geq \theta''\}$ for each θ' .²⁶ In the DSE, $\hat{\theta} = \theta_0$, $\hat{\theta}_g \in [\hat{\theta}, p_g + S)$, and $\theta_2 = p_g + S$ such that the following holds:

- (i) Types $\theta \leq \theta_0$ sell in both periods, a positive (possibly the entire) measure of which accept the bailout.
- (ii) Among types $\theta \leq \theta_0$, those that sell to the market in $t = 1$ (if they exist) receive price p_0 in $t = 1$ and p_g in $t = 2$, and those that accept the bailout sell assets at price p_0 in $t = 2$. Furthermore, these two groups of firms have the same average value of $E[\theta | \theta \leq \theta_0] = p_0$.
- (iii) Types $\theta \in (\theta_0, \hat{\theta}_g]$ sell only in $t = 1$ and to the government at price p_g .
- (iv) Types $\theta \in (\hat{\theta}_g, p_g + S]$ sell only in $t = 2$ at price p_g . Higher-type firms never sell in either period.

PROOF: See the Appendix. $\square$

(a) Theorem 4: delayed stimulation

The discussions above lead to the following key observation.

COROLLARY 1: Each DSE is equivalent to an equilibrium under secret bailout (described in Theorem 2) in total volume of asset sales—and thus in total investments undertaken by firms. The total volume of asset sales in any DSE exceeds that in SSE.

PROOF: See the Appendix. $\square$

(b) Corollary 1: DSE and secret bailout

Read:

- Theorem 3 characterizes the equilibrium in which bailout effects are immediate but short-lived.
- Theorem 4 characterizes the delayed equilibrium in which bailout rejection acts as a favorable signal.
- Corollary 1 shows that any delayed stimulation equilibrium is equivalent to a secret bailout in total volume of asset sales.

Economic message: Delayed stimulation is not a failure of the bailout program. It can be the observable version of the optimal secret-bailout benchmark.

5.8 Theorem 5: optimal bailout policy

The optimal solution depends on the cost λ of public funds, in particular, whether it is less than a threshold $\hat{\lambda} := \inf \left\{ \tilde{\lambda} \geq 0 : S(1 + \tilde{\lambda}) \geq \tilde{\lambda} \frac{F(\theta_0)}{f(\theta_0)} \right\}$.

THEOREM 5: *The following characterizes the optimal bailout policy:*

- (i) *The uniquely optimal outcome is characterized by the trade rule Q in (3) with cutoffs $\hat{\theta} = \theta_0$ and $\theta_2 = \max\{\theta_0, \theta_2^*\}$, where $\theta_2^* := \sup\{\theta \in [0, 1] : (1 + \lambda)S \geq \lambda \frac{F(\theta)}{f(\theta)}\}$, with no rents accruing to the highest type.³⁶*
- (ii) *If $\lambda \geq \hat{\lambda}$, then the optimal outcome is implemented by no intervention; if $\lambda < \hat{\lambda}$, then it is implemented by a secret bailout or, equivalently, a delayed stimulation equilibrium under a single purchase offer of $p_g := \theta_2^* - S$.*
- (iii) *The short-lived stimulation equilibrium is strictly suboptimal.*
- (iv) *A menu of multiple transparent bailout offers is strictly suboptimal as long as positive measures of firms accept distinct bailout offers in equilibrium.*

PROOF: See the [Appendix](#). □

Theorem 5 summarizes several broad lessons learned from our general

Read:

- The optimal outcome has cutoff $\hat{\theta} = \theta_0$ and extends trade to θ_2^* when the social value of additional trade exceeds the public-funds cost.
- If public funds are too costly, no intervention is optimal.
- If intervention is optimal, a secret bailout or a delayed stimulation equilibrium under a single offer implements the constrained optimum.
- Short-lived stimulation is strictly suboptimal.
- A menu of multiple transparent bailout offers is strictly suboptimal when different offers are used by positive masses of firms.

Economic message: The policy message is sharp: prefer secrecy if possible; under transparency, prefer a single sufficiently generous program that supports delayed stimulation rather than a menu that intensifies stigma.

6 Short summary

- The paper studies bailouts when accepting aid is publicly observable and affects future funding terms.
- In each of two periods, firms must sell legacy assets to finance valuable projects.
- Asset quality is private information, so adverse selection can freeze the market.
- In a one-period setting, government asset purchases can improve the market by buying bad assets.
- In a two-period setting, bailout participation reveals information and creates stigma.
- Short-lived stimulation: firms accept the bailout, trade rises immediately, but future market confidence worsens.
- Delayed stimulation: strong firms reject the bailout to signal quality, so market revival occurs later.
- Delayed stimulation can match the secret-bailout benchmark in total trade.
- Rejection of a bailout can be a blessing in disguise.
- The optimal policy is often a single bailout offer, possibly generous enough to support delayed stimulation.
- Multiple transparent bailout programs are bad because they create additional signaling opportunities and worsen adverse selection.
- The paper's lesson is that bailout design is also information design.

7 Conclusion

7.1 Core conclusion

Che, Choe, and Rhee show that public bailouts can produce stigma because acceptance signals weak balance sheets. This stigma can undo the standard dregs-skimming benefits of public asset purchases. A bailout that looks successful in the short run can worsen future market freezes, while a bailout that appears weak in the short run because many firms reject it can support stronger future market confidence.

7.2 Economic intuition

The static bailout logic says that government purchases remove bad assets and improve the remaining market pool. The dynamic stigma logic says that being purchased by the government identifies a firm as part of the bad pool. Firms then strategically choose not only whether to obtain funding today, but also what their decision says about their future asset quality.

7.3 Takeaway

The main policy lesson is that bailout visibility matters. Secrecy is useful if feasible. If bailouts must be transparent, the government should avoid complex menus and may need to offer generous terms that let high-quality firms credibly reject the bailout and support delayed market recovery.